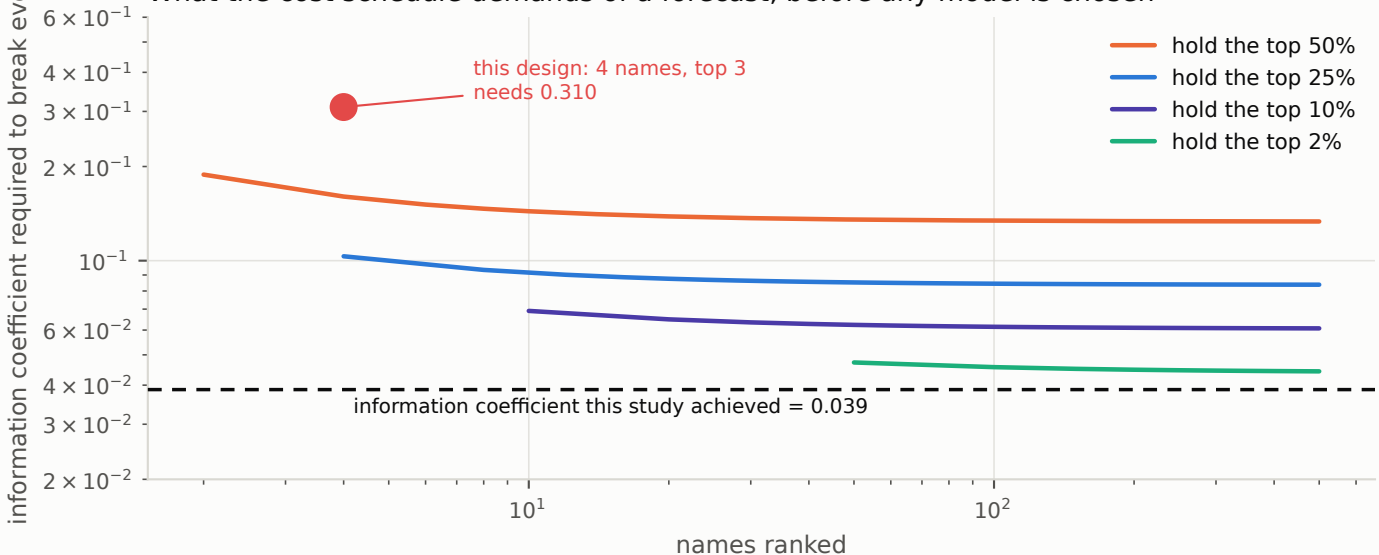


What the cost schedule demands of a forecast, before any model is chosen



At a round-trip cost of 20.2 basis points against a target volatility of 1.90%, holding the top 3 of 4 names requires a cross-sectional information coefficient of 0.310. The portfolio model achieved 0.039, short by a factor of 8.0. Breadth relaxes the requirement sharply at first and then hardly at all: at a fixed holding fraction the selection score converges to the mean of that tail of the normal, so past a few dozen names only a more selective rule helps.